

## Subject Description Form

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| <b>Subject Code</b>                            | AF3324                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| <b>Subject Title</b>                           | Banking and Financial Institutions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <b>Credit Value</b>                            | 3                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| <b>Level</b>                                   | 3                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| <b>Pre-requisite / Co-requisite/ Exclusion</b> | <b>Pre-requisite:</b> Business Finance (AF3313)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>Objectives</b>                              | This subject aims to provide students with an overview of the banking industry, enable students to analyze the management of assets and liabilities of banks and to critically assess the performance of banks by applying basic financial theories, analyzing financial reports, understanding the operation of commercial banks, virtual banks, investment banks, hedge funds, and other financial institutions, to obtain the knowledge on the global trend in Fintech and the regulation of the banking industry.                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>Intended Learning Outcomes</b>              | <p>Upon completion of the subject, students will be able to:</p> <ol style="list-style-type: none"> <li>critically assess the specialness and the roles of the banking industry (BBA Outcome 11a);</li> <li>evaluate the impact of different regulatory and ethical issues on the management of banking and financial institutions (BBA Outcome 11a);</li> <li>understand and be able to analyse financial reports of banks (BBA Outcome 11a);</li> <li>understand the operation of commercial banks, virtual banks, investment banks and hedge funds (BBA Outcome 11a);</li> <li>identify the various sources of risks in financial intermediation and the methods for measuring and managing such risks (BBA Outcome 11a);</li> <li>understand and evaluate how the new technologies, including blockchain and encryption, big data and data analytics, and artificial intelligence (AI) influence the development of the Fintech market (BBA Outcome 11c).</li> </ol> |
| <b>Subject Synopsis/ Indicative Syllabus</b>   | <p><b>Specialness and Roles of Banks</b><br/>Differences between of banks and non-bank firms.</p> <p><b>The Impact of Government Policy and Regulation on Banks</b><br/>Banking regulation; major banking laws.</p> <p><b>Performance Assessment of Banks and Other Financial Institutions</b><br/>Financial statements analysis. Profitability ratios, risk and efficiency measures.</p> <p><b>Risk Measurement &amp; Management</b><br/>Risks of financial intermediation. Risk measurement models. Risk management techniques.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                    |

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|------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|--------------------------------------------------------------------------------|---------|---|---------|---|---|--|
|                                                                        | <b>Bank Lending Policies and Managing Sources of Funds</b><br>Lending policies. Managing and pricing deposit services. The management of capital.<br><br><b>Fintech Foundations and Regulations</b><br>Fintech technologies, Issues with Fintech, and Global Fintech regulation.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                |                                                                                |         |   |         |   |   |  |
| <b>Teaching/Learning Methodology</b>                                   | Part of the classes will be used to discuss concepts and issues arising in respect of the management of banks and other financial firms. Case studies and / or mini projects will be used to reinforce students’ learning by illustrating that techniques discussed in lectures have application to real-life problems. Students will be asked to analyse and provide solutions to cases / projects which should reflect understanding and ability of applying the knowledge covered in this subject.                                                                                                                                                                                                                                                                                                                      |                |                                                                                |         |   |         |   |   |  |
| <b>Assessment Methods in Alignment with Intended Learning Outcomes</b> | Specific assessment methods/tasks                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | % weighting    | Intended subject learning outcomes to be assessed (Please tick as appropriate) |         |   |         |   |   |  |
|                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                | a                                                                              | b       | c | d       | e | f |  |
|                                                                        | 1. Team seminar presentation and discussion                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | 20%            | √                                                                              | √       | √ | √       | √ | √ |  |
|                                                                        | 2. Individual class participation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 10%            | √                                                                              | √       | √ | √       | √ | √ |  |
|                                                                        | 3. Test                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 20%            | √                                                                              | √       | √ |         |   |   |  |
|                                                                        | 4. Final Examination                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 50%            | √                                                                              | √       | √ | √       | √ | √ |  |
|                                                                        | Total                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 100 %          |                                                                                |         |   |         |   |   |  |
|                                                                        | Seminar presentation will be a team work and it will test students’ attainment of the intended learning outcomes by means of a presentation on an assigned topic. To test their knowledge and critical thinking skills, presenters will participate in discussions of the presentation topics or issues of interest with the discussion group and will be prepared to answer questions raised by the audience. Test and final examination will be individual student’s effort and test the students’ attainment of the intended learning outcomes under the stress of a closed book test or examination condition.<br><br>To reflect the significant technology content in this subject, 10% (or more) of the overall weighting of this subject is based on individual assessment concerning technology-related knowledge. |                |                                                                                |         |   |         |   |   |  |
|                                                                        | <b>Student Study Effort Required</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Class contact: |                                                                                |         |   |         |   |   |  |
|                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | ▪ Seminars     |                                                                                |         |   | 39 Hrs. |   |   |  |
| Other student study effort:                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                |                                                                                |         |   |         |   |   |  |
| ▪ Reading                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                |                                                                                | 48Hrs.  |   |         |   |   |  |
| ▪ Working on assignments & presentations                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                |                                                                                | 18Hrs.  |   |         |   |   |  |
| Total student study effort                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                |                                                                                | 105Hrs. |   |         |   |   |  |

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| <b>Reading List and References</b> | <p><b><i>Textbooks</i></b></p> <p>Rose, P.S. and Hudgins, S.C. <i>Bank Management &amp; Financial Services</i>, McGraw Hill, latest edition.</p> <p>Saunders, A. &amp; Cornett, M.M. (2014) <i>Financial Institutions Management – a Risk Management approach</i>, 8/e, McGraw Hill.</p> <p><b><i>References</i></b></p> <p>Annual reports of various financial institutions.</p> <p>Articles from US Federal Reserve, Fintech Weekly, Bank for International Settlement, Hong Kong Monetary Authority, and various newspapers such as Financial Times.</p> |
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